ECONOMIC SURVEYS BY THE OECD

SWEDEN

I . 2 . B . 3.

MARCH 1964

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

SWEDEN

BASIC STATISTICS

THE LAND

Area (1,000 sq.km.)	450
Lakes (1,000 sq.km.)	39
Arable area (1,000 sq.km.)	36
Woodland (1,000 sq.km.)	229

Major cities (Dec. 1963):

Stockholm	799,000
Gothenburg	413,000
Malmo	242,000

THE PEOPLE

Population (Dec. 1963)	7,621,000
No. of inhabitants per sq. km.	17
Net natural increase (average 1958-1962)	38,200
Net natural increase per 1,000 inhabitants (average 1958-1962)	5.0
Net annual immigration (average 1958-1962)	11,000

PRODUCTION

Gross National Product in 1962 (millions of Kronor)	75,272
GNP per head (U.S.$)	1,924
Gross fixed capital formation (1962)	
— percentage of GNP	22
— per head, U.S.$	428

THE GOVERNMENT

Public consumption in 1962 (percentage of the GNP)	18
General government current revenue in 1962 (percentage of the GNP)	40
Public gross fixed capital formation in 1962 (percentage of the GNP)	3
Public debt at end 1962 (ratio to general government revenue in 1962)	152

Composition of Parliament (No. of seats):

	1st Chamber	2nd Chamber
Social democrats	77	114
Liberals	27	40
Conservatives	26	39
Centre	19	34
Communists	2	5
	151	232

Last general election: 1960
Next general election: 1964

LIVING STANDARDS

Calories per head, per day (1961-1962)	3,020
Average hourly earnings of male industrial workers in 1963 (in Kronor)	7.21
Number of passenger cars in use per 1,000 inhabitants (Dec. 1962)	188
Number of telephones per 1,000 inhabitants (1962)	403
Number of radio sets per 1,000 inhabitants (1961)	377
Number of T.V. sets per 1,000 inhabitants (1962)	215

FOREIGN TRADE

Exports:

Exports of goods and services as a percentage of GNP (average 1958-1962)	26
Main exports (percentage of total commodity exports in 1962):	
Forestry products	29
Machinery, apparatus and transport equipment	36
Iron and steel	7
Iron ore	7

Imports:

Imports of goods and services as a percentage of GNP (average 1958-1962)	27
Main imports (percentage of total commodity imports in 1962):	
Machinery, apparatus and transport equipment	31
Raw materials (non-edible) and fuels	21
Metals and metal products	12
Food, beverages and tobacco	12

THE CURRENCY

Monetary unit: Krona

Currency units per U.S.$ 5.17

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ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
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SWEDEN

1. The emphasis of demand management policy was changed from stimulus to mild restraint in 1963. Exports revived strongly in the second half of the year and industrial production resumed a faster rate of growth. But the cyclical pattern of production has been less pronounced than in earlier recoveries, partly because production had been well maintained in the preceding period of weaker demand conditions, and partly because certain types of demand still remain weak; industrial investment at home has as yet shown little sign of revival. After reviewing briefly the policies adopted in the period of weak demand, the present survey discusses the current situation and the policy problems arising from the change in the business outlook.

I. WEAK DEMAND, MID-1961 to MID-1963

2. The strong expansion after the 1958 recession levelled off towards the end of 1961, with a slackening in the rate of growth of some of Sweden's major exports, the rate of inventory accumulation falling, and investment surveys pointing to a decline in industrial investment in 1962. A wide range of measures to stimulate activity was taken at an early stage; they were generally based on the assumption that private demand might resume a faster rate of growth in the second half of 1963. The measures taken included :

a) Permits to use investment reserves corresponding to an investment volume of Kr. 1.2 billion (7.5 per cent of total private fixed investment) between 1st July 1962 and 30th April 1963 ;

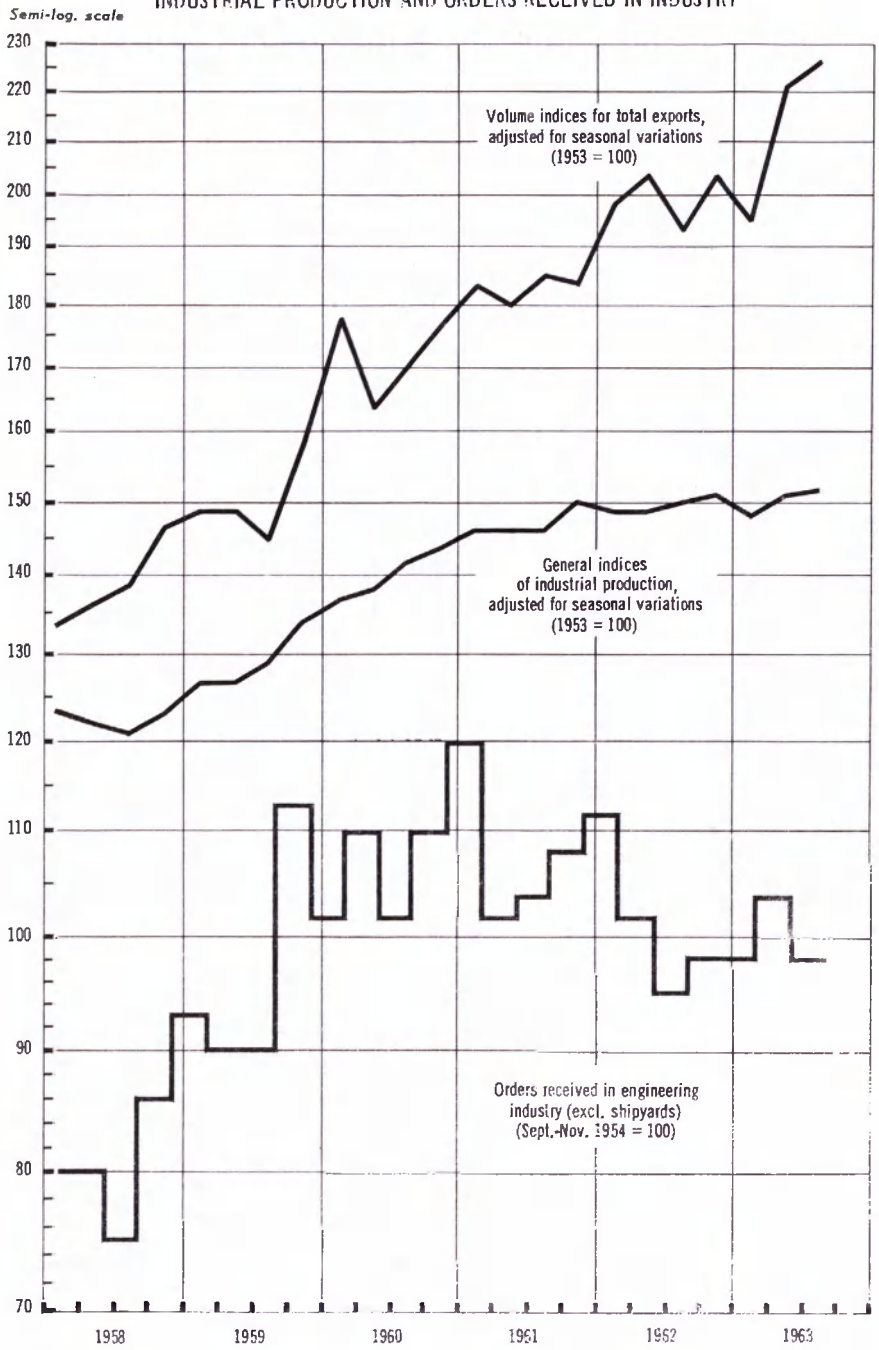
b) A significant increase in government loans for housebuilding ;

c) Acceleration of Central Government ordering of equipment, and encouragement of a similar speeding-up of local authorities' expenditure ;

d) A strong increase in public investment ;

Diagram 1

QUARTERLY FIGURES FOR VOLUME OF TOTAL EXPORTS, INDUSTRIAL PRODUCTION AND ORDERS RECEIVED IN INDUSTRY



Source : O.E.C.D. Statistical Bulletin and Konjunkturläget, Oktober 1963.

e) A less restrictive government budget ;

f) Two reductions of bank rate during the first half of 1962 and a further cut to 3.5 per cent early in 1963. Reserve and investment requirements of banks and other credit institutions were relaxed.

3. As a result of these measures, total demand and employment continued to rise. The real gross national product rose by 3.5 per cent both in 1962 and 1963; a decline in business investment was avoided, public investment and residential construction rose strongly, and the rise in private consumption continued. Unemployment remained low.

Table 1. BALANCE OF RESOURCES, 1961-1963[1)]

Percentage change from previous year, in volume

	1961	1962	1963
SUPPLY			
Imports	0.6	6.2	7.1
Gross National Product	5.8	3.5	3.3
Total supply	4.9	4.0	4.0
DEMAND			
Gross fixed asset formation	6.3	5.0	3.5
Distribution I			
a) Residential construction	8.3	6.5	3.5
b) Other construction	6.7	3.4	6.8
c) Machinery and equipment	4.9	6.0	1.0
Distribution II			
a) Private Gross Investment	9.2	2.2	0.7
b) Central Government Investment	-0.9	7.6	2.2
c) Local Government Investment	5.9	12.0	13.8
Change in stocks (Kr. million)	-268	-612	-590
Private Consumption	5.0	3.7	4.2
Public Consumption	5.6	5.7	7.5
Exports of goods and services (net)	4.5	6.4	6.9
a) Export of goods	5.8	8.4	8.2
b) Net shipping (Kr. million)	20	33	-14
c) Other Services net (Kr. million)	-141	-204	-119
Total demand	4.9	4.0	4.0

1) The table is based on Swedish definitions which differ from those used by O.E.C.D.; the main difference is that fixed investment, according to Swedish definitions, includes repairs and maintenance.

SOURCE : The Preliminary National Budget for 1964.

4. The timing of contra-cyclical policy was better than in 1958-1959 when some measures, notably the increase in public investment, came too late and lasted too long. During the recent recession, with careful advance preparation, public investment projects could be started at short notice, and the decision to do so was taken on the basis of early indications of developing slack. Most of the projects started - both private projects financed by the investment reserves and public schemes - had been completed by the time the business outlook improved in the middle of 1963. But the measures led to rather too much pressure in building and construction, despite a strong rise of employment in this sector. Bottlenecks became apparent in 1963 and residential construction, although at a very high level, rose less than envisaged.

II. THE CURRENT SITUATION

5. The Preliminary National Budget prepared at the beginning of the year envisages a faster expansion in 1964 than in 1963, with continued strength in public expenditure and exports, and renewed inventory accumulation. The Preliminary Budget will be revised in the course of the Spring. Present indications suggest that this revision will lead to some upward adjustment of the Gross National Product estimate. The present report, however, has had to be based on the preliminary estimates.

Output and employment

6. The Swedish authorities expect the real G.N.P. to rise by more than 4.5 per cent in 1964, faster than the 3.5 per cent achieved in 1963. This is partly because bad weather conditions had an unfavourable effect on construction activity and the harvest in 1963. But some improvement in the underlying trend is also envisaged, partly because the rise in demand will be better adapted to capacity conditions in individual sectors than in 1963. Industrial production is expected to rise by 4.5 per cent (4 per cent in 1963) with a particularly strong increase in the pulp and paper industries. Output in the shipbuilding industry should also rise fast. Engineering output is expected to rise by 3 per cent, which is slightly more than a year earlier.

7. Demand for labour rose in 1963, particularly in the second half of the year. The number of vacancies reported to the labour exchanges was higher than in 1962, and the number of unemployed was lower; by the last quarter unemployment had fallen below the 1961 level. The year saw distinct changes in the pattern of employment. In agriculture employment fell by 5 per cent, in forestry it fell by 10-15 per cent and there was a 1.5 per cent decline in manufacturing. The service sectors and, notably, construction, on the other hand, increased their employment; the rise in the latter sector was to a large extent due to policy measures, notably in Northern Sweden where demand for labour was less strong than elsewhere.

Table 2. UNEMPLOYMENT 1961-1963

	1961	1962	1963
1st Quarter	31,000	33,800	43,300
2nd Quarter	19,500	22,600	21,400
3rd Quarter	13,200	15,100	14,700
4th Quarter	20,188	21,583	19,812

SOURCE : National Labour Market Board.

8. Demand for labour should continue to rise in 1964, entailing a risk of growing strain on the labour market. Employment in agriculture will probably continue to decline, but forestry should show some increase. The decline in employment in manufacturing is expected to level out, and demand for labour is likely to continue to increase in the service sectors. Unemployment is expected to remain very low. Official measures to maintain employment will still be required in Northern Sweden, but on a smaller scale than previously.

Table 3. NATIONAL OUTPUT AND EXPENDITURE, 1963-1964

1963 prices

	1963	CHANGE 1963 TO 1964	
	S. Kr. MILLION	S. Kr. MILLION	PER CENT
Private gross investments	16,300	200	1
Central government gross investments	6,200	300	5
Local government gross investments	5,800	450	7.5
Change in stocks	-100	900	.
Private consumption	47,000	1,650	3.5
Central government consumption	5,000	350	7.5
Local government consumption	7,200	450	6
Exports	17,200	750	4.5
Less :			
Imports	17,500	950	5.5
Gross National Product	87,100	4,100	4.5

SOURCE : The Preliminary National Budget for 1964.

9. The persistent outflow of labour from agriculture has led to a considerable decline in the agricultural labour force, from about 17 per cent of the active population in 1950 to less than 10 per cent in 1963. The outflow has accelerated in the last few years. A continuation of this movement is desirable since it will ease the pressure on the labour market.

Demand

10. Merchandise exports (excluding ships) rose by 8 per cent from 1962 to 1963, largely reflecting an increase in volume (average export prices were only 0.5 per cent higher than in 1962); engineering products, which represent about one-third of total merchandise exports, rose by only 2 per cent, reflecting continued slack in business investment in most Western European countries. The first half of 1963 showed a very small

Table 4. EXPORTS AND IMPORTS, 1962-1964

	1962 S. Kr. MILLION	PERCENTAGE CHANGE IN VOLUME	
		1962 TO 1963	1963 TO 1964 ESTIMATES
Commodity exports			
Timber	1,079	8	0
Pulp	1,683	15	6
Paper, paperboard and wallboard	1,505	14	12
Metalliferous ores	1,047	3	3.5
Basic metals	1,377	12.5	9
Engineering products, excl. ships	4,763	2	3.5
Foodstuffs	576	2	-16.5
Other goods	2,039	10	12.5
Total exports, excl. ships	14,069	7.5	5.5
Ships	1,060	19	-4
Total exports	15,129	8	5
Commodity imports			
Foodstuffs	1,814	13.5	10
Other non-durable consumer goods	2,245	10.5	7
Durable consumer goods	1,188	19.5	9
Capital goods	2,505	6	2.5
Raw material for industry	5,170	0	7
Raw material for construction	589	1	3.5
Fuels	1,942	14.5	3
Other goods	701	.5	-10
Total imports	16,154	7	5.5

SOURCE : The Preliminary National Budget for 1964.

increase in exports, 1.5 per cent compared with a year earlier, to a large extent because of the severe winter. But the second half of the year saw a strong recovery, notably in exports of timber, pulp, paper and certain base metals.

11. In 1964, the value of merchandise exports (excluding ships) is expected to rise by 7 per cent, with a further significant increase in pulp and paper exports, although a smaller one than in 1963. Exports of timber are likely to remain at the 1963 level, while shipments of engineering products should show a moderate increase. Exports of ships rose in 1963, but deliveries are thought likely to fall somewhat in 1964, despite increased activity in the shipbuilding industry.

12. Public expenditure is planned to show a further strong increase in real terms in 1964, almost at the same rate as in 1963. The local authorities' expenditure should rise more slowly than earlier, but the Central Government's purchases of goods and services should increase faster than in 1963, particularly for investment purposes. The expansion of government investment is mainly ascribable to defence, road-building and the stronger measures envisaged to support employment.

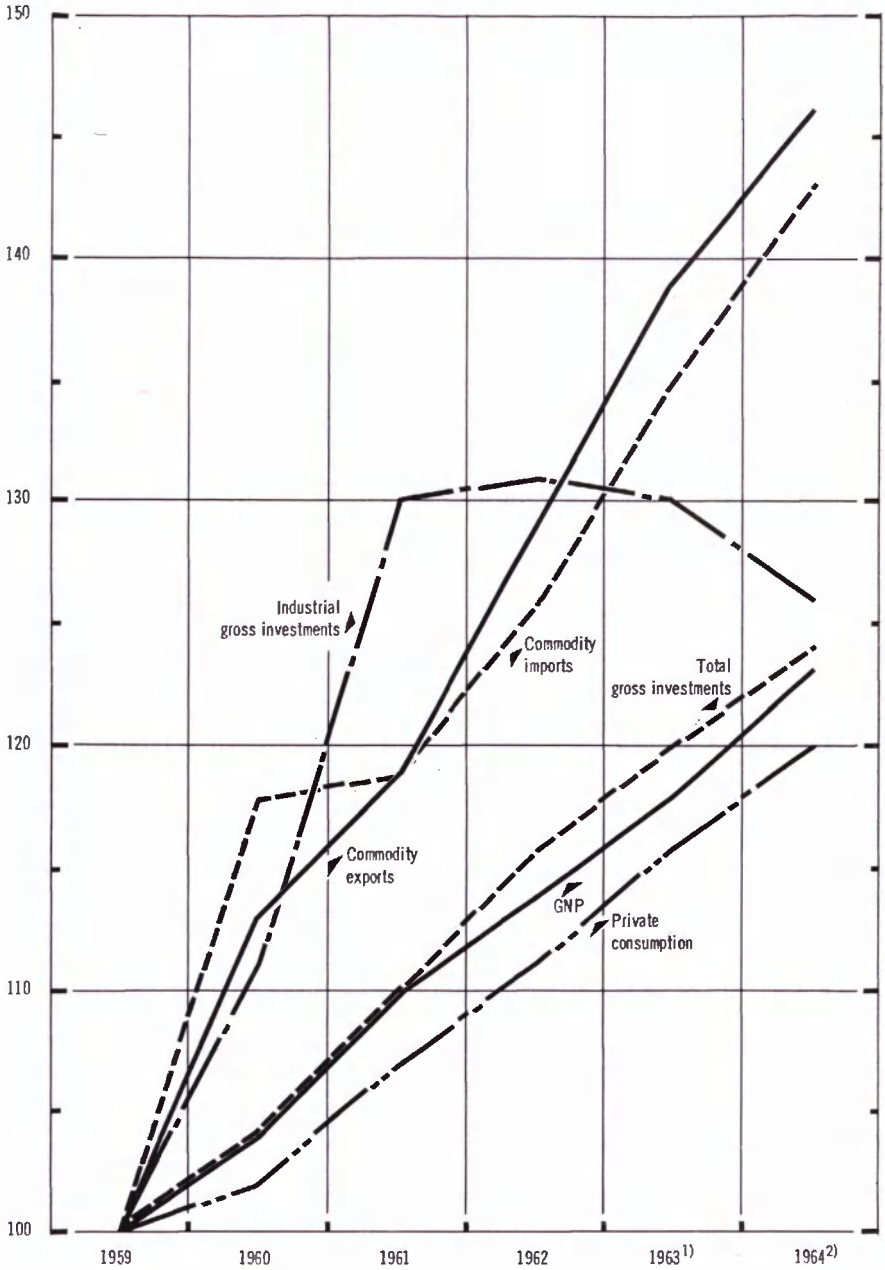
13. Private gross fixed asset formation is not expected to rise much in 1964. Residential construction should increase somewhat (2.5 per cent) but prospects for industrial fixed investment are uncertain. As in most other European countries, industrial investment levelled off in 1962, following the steep increase over the preceding years, and showed no rise in 1963. The fact that, in Sweden, there was no decline no doubt reflected the active stabilisation policy followed by the authorities, notably the release of investment funds. The investment survey made in November 1963 pointed to a sharp decline in industrial investment in 1964. But the November survey typically underestimates investment plans, and the authorities feel that actual investment will be higher than suggested by the survey; nevertheless, official forecasts still envisage a 3.5 per cent decline. Unused capacity in some branches, lower profit margins, and smaller scope for self-financing are probably some of the factors contributing to the weak investment demand.

14. Inventory movements contributed importantly to the weaker demand conditions prevailing in 1962 and much of 1963. The accumulation of inventories fell sharply in 1962 and was replaced by an absolute reduction of stocks in 1963. The decline in investment in stocks between 1961 and 1963 represented about 1.5 per cent of G.N.P. The authorities feel there are good grounds for expecting renewed accumulation in 1964, notably of agricultural products, wood and other forestry products.

15. Private consumption has expanded strongly over the last three years, and rather faster than G.N.P. Hourly earnings in industry continued to rise relatively fast both in 1962 and 1963, although aggregate demand was no longer excessive. No definite

Diagram 2

DEVELOPMENT OF THE VOLUMES OF OUTPUT, INVESTMENTS, CONSUMPTION AND COMMODITY TRADE (1959 = 100)



1. Preliminary. - 2. Forecast.

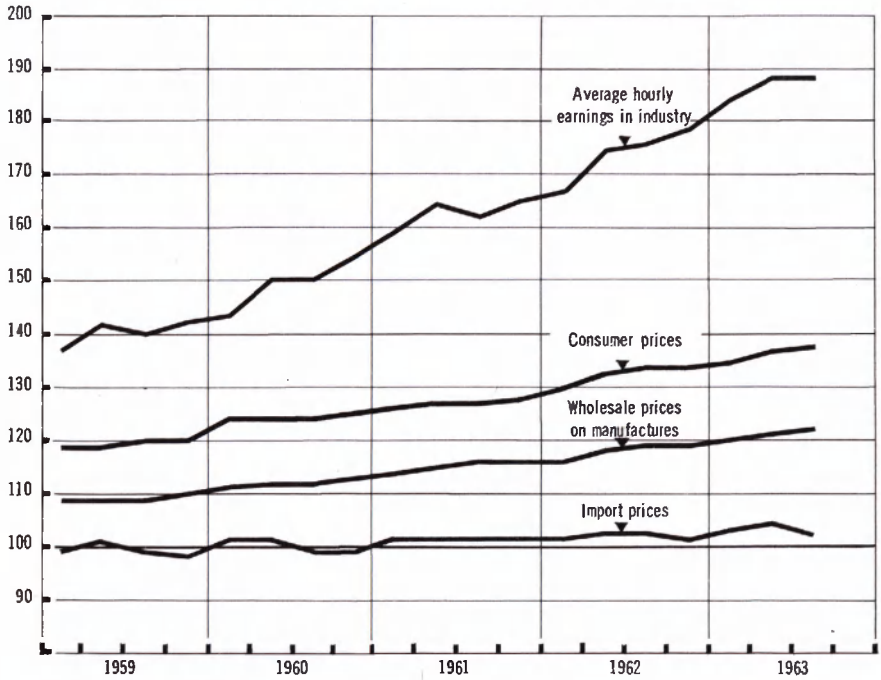
Source : Preliminary National Budget 1964.

forecast for private consumption for 1964 has as yet been made because of the uncertainty about the outcome of the current comprehensive wage negotiations. But the estimate which had to be made for private consumption in order to complete the analysis of the supply and use of resources - showing a 3.5 per cent increase in the real consumer expenditure - was based on the assumption that there would be an average increase of wage rates of about 3 per cent, and that wage drift and higher employment would add about 2 per cent to the wage bill.

Cost and prices

16. The total wage bill rose by about 7.5 per cent between 1962 and 1963, with 5 percentage points resulting from higher wage rates, 1.5 points from wage drift, and 1 point from higher employment. Wage costs per hour in industry rose somewhat faster (8.5 per cent) because of higher fringe benefits. With output per employed person in industry rising by more than 5 per cent, the increase in industrial unit labour costs amounted to about 3 per cent.

Diagram 3
PRICES AND WAGES
(Index 1953 = 100)



Source : O.E.C.D. Statistical Bulletin.

17. The consumer price index rose by 3.4 per cent during 1963, rather less than previously. Most of the increase was due to higher food prices. The rise in food prices was only partly due to an increase in agricultural producer prices at home; it was also influenced by an increase in retail trade margins, higher costs in the food processing industry, and higher import prices. An increase in indirect taxes also contributed to the rise in the consumer price index. The wholesale price index rose by more than 4 per cent, also strongly affected by the increase in food prices.

Foreign trade and payments

18. The deficit on the current account of the balance of payments rose somewhat in 1963, and the authorities forecast a further increase to about $ 80 million in 1964. Both the trade balance and the invisibles account are expected to deteriorate somewhat. The balance of registered capital transactions has remained small. In 1962 the inflow under "errors and omissions" more than offset the current deficit and the official foreign exchange reserves rose. In 1963 the inflow under this item declined, and the gross reserves fell by about $ 30 million to some $ 800 million, the equivalent of 3 months' imports (c.i.f.)

Table 5. BALANCE OF PAYMENTS

Millions of dollars

	1960 ACTUAL	1961 ACTUAL	1962 ACTUAL	1963 ACTUAL	1964 FORECAST
Exports (f.o.b.)	2,567	2,746	2,926	3,204	3,400
Imports (c.i.f.)	2,902	2,931	3,124	3,391	3,615
Trade balance	-335	-185	-198	-187	-215
Shipping earnings, net ..	260	267	279	280	290
Other services, net	-39	-70	-110	-135	-155
Current balance	-114	12	-29	-42	-80
Registered capital transactions.....	-15	-6	-2	-16	15
Errors and omissions ..	98	168	141	28	..
Change in foreign exchange reserves ...	-31	174	110	-28	..

SOURCE : The Preliminary National Budget for 1964.

19. The value of merchandise imports rose by 8.5 per cent between 1962 and 1963, somewhat slower than exports. Imports of consumer durables rose sharply, reflecting to a large extent higher imports of motor vehicles. For the first time since 1957 the domestic automobile industry's share of the domestic market declined ; but this was probably due to full capacity utilisation rather than to a change in the pattern of demand in favour of foreign cars. Imports of food also rose strongly, and the steady rise in the import content of domestic food consumption, from 13 per cent in 1953 to 16 per cent in 1962, accelerated to 18 per cent. This was partly due to the bad domestic grain harvest, but it also reflected a strong increase in imports of other agricultural products. The rise in fuel imports was also significant, while imports of industrial raw materials remained at the 1962 level.

20. In 1964, the value of imports is expected to rise by 6 to 7 per cent, with imports of both food and consumers' durables rising less fast than in 1963. But purchases of industrial raw materials are likely to revive, influenced by the strenghtening of inventory demand. The national budget envisages a 6 per cent increase in the value of exports in 1964. Both import and export prices are thought likely to rise by 1 per cent.

21. The decline in net invisibles receipts can largely be ascribed to a steady increase in tourist expenditure. Net freight

Table 6. CENTRAL GOVERNMENT BUDGET
1961-62 TO 1964-65

S. Kr. million

	1961/62 ACTUAL	1962/63 ACTUAL	1963/64 ESTIMATES	1964/65 BUDGET PROPOSAL
1. Revenue	18,007	19,869	20,600	22,050
of which :				
Direct taxes	8,620	9,025	8,710	9,210
Indirect taxes	8,046	9,402	10,340	10,750
2. Gross investments	3,369	3,834	4,350	4,150
3. Consumption	4,251	4,862	5,420	6,100
4. Transfers	8,692	9,881	10,440	11,680
5. Total 2 to 4	16,312	18,577	20,210	21,930
6. Financial savings	+1,695	+1,292	+390	+120
7. Lending	1,168	953	890	1,020
8. Total expenses	17,480	19,530	21,100	22,950
9. Balance on total account	+527	+339	-500	-900

SOURCE : The Preliminary National Budget for 1964.

earnings have continued to increase, but very slowly; with most of the merchant fleet sailing on long-term contracts, the rise in freight rates has had only a limited influence on shipping earnings.

III. ECONOMIC POLICY

The Government budget

22. Recent estimates suggest that the surplus on current and investment account (financial savings) in 1963/1964 will decline by Kr. 900 million, representing about 1 per cent of G.N.P., following a decline of Kr. 400 million in 1962/1963. With government lending expected to change little in the current fiscal year, the overall budget balance is likely to show a movement similar to the decline in financial savings. The rise in expenditure is smaller than in the previous fiscal year, but still considerable (about 9 per cent).

23. The 1963-1964 budget is, however, probably less expansionary than inspection of the change in the balance would suggest. In particular, an assessment of the economic effects of the budget will have to take into account the following factors :

a) The release of investment funds and higher government lending for housebuilding had important effects on employment and economic activity in 1962/1963, but they did not affect the budget for that period very much ; the investment funds affect the budget (tax receipts) when they are set aside and not when they are released; and loans for housebuilding are not paid out until the house or dwelling has been completed ;

b) The slowing down of the growth of tax revenue has mainly been due to the more moderate increase in the tax base - partly the result of the smaller rise in prices and nominal incomes - rather than to any reduction in tax rates ;

c) The rise in government investment expenditure largely affected machinery and other engineering products, for which private demand is not very buoyant, and only to a smaller extent building and construction where demand pressure is strong.

24. The 1964-1965 budget envisages a further decline in financial savings of Kr. 270 million, and the overall deficit is expected to rise by Kr. 400 million. Total expenditure should rise at about the same rate as in the current fiscal year ; the increase affects particularly social expenditure (including pensions, children's allowances and hospitals), education and defence. The income side of the budget has been based on a

more moderate increase in private sector incomes than previously because of a slowing down of the rise in nominal incomes. Nevertheless, budget receipts are expected to rise somewhat faster than earlier, partly because of certain tax adjustments.

25. The budget estimate is, however, very uncertain. On the one hand, no allowance has been made for an increase in wages and salaries of government employees. On the other hand, certain investment expenditures may be lower than envisaged in the budget. An assessment of the economic effects of the budget should also take into account the following factors :

a) The rise in expenditure concerns consumption and transfers ; investment expenditure should decline, easing somewhat the pressure in the building sector ;

b) An investment tax credit has been proposed to stimulate industrial investment in machinery and equipment;

Table 7. CREDIT AND CAPITAL MARKETS, 1961-1963

Net amounts, S. Kr. million

LENDERS	BORROWERS				
	CENTRAL GOVERNMENT	LOCAL AUTHORITIES	DWELLINGS	TRADE	TOTAL
1961					
The Riksbank	-250	0	0	0	-250
The commercial banks	0	50	125	425	600
Other credit institutions	-100	325	2,400	825	3,450
Private persons	0	0	100	500	600
Total	-350	375	2,625	1,750	4,400
1962					
The Riksbank	-550	0	0	0	-550
The commercial banks	1,050	100	200	1,950	3,300
Other credit institutions	-850	750	2,600	1,350	3,850
Private persons	-250	50	100	500	400
Total	-600	900	2,900	3,800	7,000
1963 (Preliminary)					
The Riksbank	500	0	0	0	500
The commercial banks	-700	100	800	2,100	2,300
Other credit institutions	400	800	2,700	1,300	5,200
Private persons	0	0	100	400	500
Total	200	900	3,600	3,800	8,500

SOURCE : The Preliminary National Budget for 1964.

c) the budget also proposes that the taxpayers' contributions pensions should no longer be deductible from taxable income, and that telephone charges should be increased ; these tax changes will mainly affect consumers.

Monetary policy

26. A more restrictive credit policy was adopted in 1963. Bank rate was raised from 3.5 to 4 per cent in June and the Riksbank recommended a more moderate expansion of bank credit. The reversal of credit policy was related to the better business outlook, and particularly to the strong pressure in the building and construction sector, to which the strong expansion of bank credit had contributed. Bank rate was raised further to 4.5 per cent in January 1964. As from 27th February a penalty rate of 9 per cent is being applied by the Riksbank on the part of the loans to any commercial bank that exceeds half the amount of the commercial bank's own capital and reserves.

27. The volume of funds raised in credit and capital markets expanded strongly both in 1962 and 1963, much faster than in 1961. Table 7 shows that the expansion in 1963 mainly reflected increases in government borrowing and building loans. The amounts raised by local authorities and business were also significant, but no higher than in 1962.

28. The rise in commercial bank assets was smaller in 1963 than in 1962. Bank credit to business and house-builders showed a further strong increase, although there are indications that the expansion slowed down in the second half of the year. But the volume of credit granted to local authorities remained at the 1962 level and the commercial banks reduced their holdings of government securities. The strong increase in credits from "other credit institutions" includes the lending of the new national pension system which has expanded strongly since it was introduced in 1960.

Other measures

29. In the autumn of 1963, with considerable pressure on the building and construction sector, building starts of public projects were postponed. In the spring of 1964 public relief works were reduced faster than planned earlier. The re-introduction of direct control for building activity is now under consideration in order to enable the authorities to exert a selective influence on investment in building and construction.

Policy problems

30. Economic policy was successful in maintaining full employment and expansion in the period of relatively weak demand.

But the measures taken over the last year suggest that some difficulty has been experienced in adjusting policies to the change in the business outlook. Two considerations would seem to be of particular importance for stabilisation policy in existing conditions :

a) to avoid an excessive increase in aggregate demand, so that reasonable stability in prices and the balance of payments can be maintained ;

b) to facilitate a revival of business fixed investment. Industrial investment showed no increase in 1962 and 1963, and present trends suggest a decline in 1964. Although the existing level is still high, recent Swedish official statements point to the desirability of a revival of industrial investment, mainly for reasons of future growth.

On this basis, the recent changes in budgetary and monetary policies would not seem to be wholly appropriate.

31. First, a more restrictive budget policy would seem to be desirable since there is a danger of an excessive increase in aggregate demand. There is, of course, a considerable amount of speculation involved in any assessment of future demand trends. It may well be argued that, with the assumptions on which existing policies are based with regard to the movement of private demand, no serious imbalance is likely to arise in 1964. But there may be a danger that the increase in private demand has been underestimated, both with regard to investment and consumption, particularly since private income may rise faster than suggested by the Preliminary National Budget.

32. The risk of generally excessive demand may not be very considerable in the first few months of 1964. But the more buoyant outlook in Western Europe, the prospect of faster growth in North America, and the likelihood that trade with the rest of the world will expand more markedly than last year, should have a progressive influence on business conditions in Sweden, particularly on industrial investment. It is therefore doubtful whether the proposed budget for 1964/65 will prove wholly appropriate.

33. Second, even if present policies should not lead to an excessive increase in aggregate demand, a less expansionary budget policy would have been desirable in existing circumstances. A tighter budget would have made it possible to maintain an easier monetary policy. Lower interest rates and easier credit conditions would clearly have facilitated an increase in industrial investment, particularly in present conditions where the scope for self-financing is smaller. Given the desirability of a revival of industrial investment, a different pattern of budgetary and monetary policies would have seemed appropriate.

IV. CONCLUSIONS

34. The main conclusions of this survey can be summarised as follows :

a) The Swedish authorities expect the real G.N.P. to rise faster in 1964 than in 1963. Exports resumed a faster rate of growth in the second half of 1963, inventory demand is likely to pick up in 1964, and the increase in public expenditure should remain considerable. The development of private consumption will depend heavily on the outcome of the current wage negotiations. The Preliminary National Budget envisages a decline in industrial investment, but more recent indicators suggest that an upward revision of this estimate is called for ;

b) Given the more buoyant business outlook both at home and abroad, there is a danger that aggregate demand will rise too fast for comfort ; a somewhat tighter fiscal policy would therefore have been desirable in 1964/1965 ;

c) A tighter budget would have permitted an easier monetary policy, which would have been more conducive to the revival of industrial investment which it is one of the aims of Swedish policy to secure.

STATISTICAL ANNEX

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Table I. GROSS NATIONAL PRODUCT AND EXPENDITURE

S.Kr. million at 1954 prices

	1955	1956	1957	1958	1959	1960	1961	1962
1. Private consumption	27,563	28,498	28,990	30,014	31,178	31,762	33,680	35,086
a) Durables	2,657	2,800	3,125	3,362	3,881	3,721	4,196	4,263
b) Other	24,906	25,698	25,865	25,865	26,652	27,297	29,484	30,823
2. Public consumption	7,100	7,426	7,634	7,876	8,277	8,271	8,679	9,227
a) Defence	2,091	2,143	2,126	2,196	2,305	2,234	2,298	2,514
b) Civil	5,009	5,283	5,508	5,680	5,972	6,037	6,381	6,713
3. Gross domestic fixed asset formation	8,697	8,952	9,239	10,044	11,048	11,634	12,376	12,783
a) Residential construction	2,266	2,389	2,441	2,625	2,747	2,683	2,880	3,155
b) Other construction	3,409	3,502	3,625	3,983	4,539	4,742	4,988	5,045
c) Machinery and equipment	3,022	3,061	3,173	3,436	3,762	4,209	4,508	4,583
4. Change in stocks	938	652	1,027	-36	-395	1,393	1,106	607
5. Exports of goods and service	11,767	12,912	14,469	14,497	14,813	16,496	17,199	18,513
6. Imports of goods and services	12,387	13,188	14,515	14,930	15,129	17,557	17,736	18,830
7. Gross national product at market prices	43,678	45,252	46,844	47,465	49,792	51,999	55,304	57,386

SOURCE : Swedish submission to the O.E.C.D.

Table II. GROSS NATIONAL PRODUCT AND EXPENDITURE

S.Kr. million at current prices

	1955	1956	1957	1958	1959	1960	1961	1962
1. Private consumption	28,212	30,451	32,032	34,218	35,712	37,658	40,693	44,165
a) Durables	2,715	2,915	3,334	3,607	4,131	4,101	4,683	5,012
b) Other	25,497	27,536	28,698	30,611	31,581	33,557	36,010	39,153
2. Public consumption	7,555	8,301	9,195	9,794	10,472	11,020	12,058	13,685
a) Defence	2,196	2,397	2,556	2,694	2,826	2,882	3,069	3,521
b) Civil	5,359	5,904	6,639	7,100	7,646	8,138	8,989	10,164
3. Gross domestic fixed asset formation	9,035	9,789	10,500	11,493	12,660	14,166	15,548	16,733
a) Residential construction	2,340	2,574	2,699	2,905	3,049	3,198	3,545	4,058
b) Other construction	3,565	3,840	4,134	4,579	5,263	5,827	6,312	6,637
c) Machinery and equipment	3,130	3,375	3,667	4,009	4,348	5,141	5,691	6,038
4. Change in stocks	1,023	792	1,226	-46	-351	1,591	1,201	725
5. Exports of goods and services	12,216	13,862	15,729	15,201	15,151	17,347	18,227	19,317
6. Imports of goods and services	12,601	13,979	15,808	15,458	15,167	17,898	18,119	19,353
7. Gross national product at market prices	45,440	49,216	52,874	55,202	58,477	63,884	69,608	75,272

SOURCE : Swedish submission to the O.E.C.D.

Table III. GROSS FIXED ASSET FORMATION

S. Kr. million at 1954 prices

	1950	1955	1956	1957	1958	1959	1960	1961	1962
A. BY INDUSTRY									
Agriculture, forestry and fishing	514	425	400	405	393	412	434	496	497
Manufacturing, mining and construction	1,992	1,861	1,890	1,874	2,223	2,397	2,687	3,284	3,183
Electricity, gas and waterworks	727	952	995	1,075	1,234	1,334	1,346	1,418	1,275
Transportation and communications	1,370	2,037	2,080	2,144	2,180	2,550	2,865	2,583	2,694
Dwellings	1,856	2,266	2,389	2,441	2,625	2,747	2,683	2,880	3,155
Public administration	147	193	173	215	224	246	243	245	280
Other service industries	482	963	1,025	1,085	1,165	1,362	1,376	1,470	1,699
Total	7,088	8,697	8,952	9,239	10,044	11,048	11,634	12,376	12,783
B. INSTITUTIONAL CLASSIFICATION									
Private enterprises	4,661	5,228	5,408	5,427	6,038	6,442	7,192	7,818	7,963
Public enterprises	1,584	2,086	2,131	2,225	2,359	2,667	2,779	2,905	3,013
General government	843	1,383	1,413	1,587	1,647	1,939	1,663	1,653	1,807
C. PRODUCT CLASSIFICATION									
Dwellings	1,856	2,266	2,389	2,441	2,625	2,747	2,683	2,880	3,155
Other building and construction	2,346	3,409	3,502	3,625	3,983	4,539	4,742	4,988	5,045
Transport equipment	2,886	1,138	1,164	1,214	1,202	1,317	1,694	1,469	1,587
Other equipment		1,884	1,897	1,959	2,234	2,445	2,515	3,039	2,996

SOURCE : Swedish submission to the O.E.C.D.

Table IV. DEVELOPMENT OF GROSS INVESTMENTS 1960-1964 (INCLUDING MAINTENANCE)

	PERCENTAGE CHANGE IN 1959 PRICES			1963 IN MILLION KR. CURRENT PRICES	CHANGE 1963-1964 IN 1963 PRICES	
	1960-1961	1961-1962	1962-1963		MILLION KRONER	PER CENT
Buildings and constructions :						
Private including dwellings	10.5	1.5	1.5	8,285	78	1.0
Private excluding dwellings	12.5	-1.0	1.5	3,783	-30	-1.0
Central government including dwellings	2.5	-1.0	3.5	2,970	196	6.5
Central government excluding dwellings	2.5	-1.0	3.5	2,947	204	7.0
Local government including dwellings	4.5	13.5	14.5	5,257	414	8.0
Local government excluding dwellings	4.0	13.0	15.5	3,867	367	9.5
Total including dwellings	7.5	4.5	5.5	16,512	688	4.0
Total excluding dwellings	6.5	3.5	7.0	10,597	541	5.0
Machinery and apparatus :						
Private	8.0	2.5	0	8,002	87	1.0
Central government	-4.5	16.5	1.0	3,214	113	3.5
Local government	16.5	-1.0	10.0	608	40	6.5
Total	5.0	6.0	1.0	11,824	240	2.0
Total :						
Private including dwellings	9.0	2.0	0.5	16,287	165	1.0
Private excluding dwellings	9.5	1.5	0.5	11,784	57	0.5
Central government including dwellings	-1.0	7.5	2.0	6,184	309	5.0
Central government excluding dwellings	-1.0	7.5	2.0	6,161	317	5.0
Local government including dwellings	6.0	12.0	14.0	5,865	454	7.5
Local government excluding dwellings	6.0	10.5	14.5	4,476	407	9.0
Total including dwellings	6.5	5.0	3.5	28,336	928	3.5
Total excluding dwellings	5.5	5.0	3.5	22,421	781	3.5

SOURCE : Preliminary National Budget 1964.

Table V. PRIVATE CONSUMPTION 1962-1964

	S.Kr. MILLION IN CURRENT PRICES			PERCENTAGE CHANGE IN VOLUME		PERCENTAGE CHANGE IN VALUE	
	1962 ACTUAL	1963 PRELIMINARY	1964 FORECAST	1962-1963 PRELIMINARY	1963-1964 FORECAST	1962-1963 PRELIMINARY	1962-1963 FORECAST
Foodstuffs, liquors, wine and tobacco	16,196	17,336	18,400	2.0	3	7.0	6
Dwellings, fuels and electricity	6,228	6,575	7,000	5.1	4	5.6	7
Clothing	5,054	5,372	5,700	5.1	5	6.3	6
Inventories	3,697	3,952	4,200	5.3	5	6.9	7
Automobiles, petrol	4,079	4,589	5,100	12.5	9	12.5	11
Journeys	1,416	1,461	1,500	-2.3	2	3.2	4
Health protection	2,676	2,893	3,100	4.4	5	8.1	8
Other	3,627	3,906	4,200	2.2	3	7.7	6
Total	42,973	46,084	49,126	4.2	3.9	7.2	6.6

SOURCE : Preliminary National Budget 1964.

Table VI. INDICATORS OF RECENT DEVELOPMENT

	UNITS	1960					1961			1962				1963			
		1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER
1. Output of Major Products :																	
a) Pig iron and sponge iron	1,000 metric tons	444.4	419.0	301.8	480.5	487.0	481.3	407.7	535.6	574.5	534.1	350.4	486.7	546.9	517.7	383.2	570.9
b) Ingots, finished steel castings, etc. ...	"	859.3	771.3	677.2	910.7	950.9	884.4	777.4	942.8	1,002.2	921.3	740.3	937.5	1,025.0	981.6	809.2	1,064.3
c) Finished steel	"	561.4	508.3	463.3	629.3	611.3	603.7	516.6	692.6	655.8	622.8	510.6	717.6	682.8	667.7	574.8	787.2
d) Pulp	"	994.0	876.0	885.0	996.0	1,024.0	955.0	944.0	1,019.0	1,002.0	918.0	888.0	1,050.0	1,119.0	1,056.0	1,040.0	1,247.0
e) Paper and board	"	555.6	516.2	508.1	569.8	581.8	547.3	551.8	611.1	623.9	575.2	565.7	640.4	671.2	626.0	627.8	747.4
2. Building Starts of Block Flats	thousands	7.3	11.6	16.2	16.7	9.1	11.8	15.3	18.9	10.0	15.4	18.4	23.2	6.3	13.3	17.5	23.3
Block flats under construction	"	60.6	58.2	62.3	64.4	62.0	60.8	63.8	67.6	66.6	68.6	74.7	81.9	75.8	76.6	80.1	84.1
3. Manpower :																	
a) Number of unemployed, seasonally adjusted	"	25.9	24.2	25.8	21.0	20.8	20.8	21.0	22.0	22.4	24.3	23.7	23.7	30.5	22.6	23.0	21.8
b) Jobs vacant, seasonally adjusted	"	38.4	37.6	38.9	50.9	46.8	47.0	46.0	46.7	45.6	43.2	42.5	44.6	46.2	49.9	50.7	
c) Proportion of insured labour force unemployed	per cent	2.4	1.3	0.7	1.1	1.9	1.1	0.6	1.2	2.1	1.3	0.8	1.2	2.7	1.2	0.7	1.1
d) Employment in industry	1953 = 100	105	107	108	109	108	109	109	109	109	109	109	108	107	108	108	107
4. Turnover in Private Retail Trade	2nd Quarter 1955 = 100	97	120	115	142	112	128	123	149	113	137	131	160	124	146	131	

SOURCE : O.E.C.D. Statistical Bulletin, Allmän Månadsstatistik.

Table VII. UNEMPLOYMENT IN 1963 (AND 1962)

	REGISTERED UNEMPLOYED						EMPLOYED IN RELIEF WORK		ON TRAINING COURSES	
	TOTAL		OF WHICH IN :							
			SOUTH AND MID-SWEDEN		VÄRMLAND, DALARNE AND NORRLAND					
	1963	CHANGE FROM PREVIOUS YEAR	1963	CHANGE FROM PREVIOUS YEAR	1963	CHANGE FROM PREVIOUS YEAR	1963	CHANGE FROM PREVIOUS YEAR	1963	CHANGE FROM PREVIOUS YEAR
January	56,621	21,509	37,508	19,113	15,001	2,396	9,360	5,056	12,667	3,192
February	40,695	6,255	27,182	6,572	13,513	-317	12,730	7,061	14,226	3,215
March	32,488	756	20,566	1,804	11,922	-1,048	14,568	7,693	15,273	3,462
April	30,091	301	14,515	851	15,576	-550	14,160	7,368	14,239	3,383
May	19,395	-2,196	9,070	177	10,325	-2,373	11,956	6,621	12,980	2,996
June	14,637	-1,643	7,422	-1,285	7,215	-358	7,290	3,530	10,810	2,205
July	11,401	-3	6,074	-465	5,327	462	4,887	1,882	9,304	1,831
August	15,927	-286	8,419	-1,346	7,508	1,060	5,255	2,124	9,595	1,951
September	16,643	-972	8,734	-1,835	7,909	863	5,792	1,971	11,343	1,867
October	18,142	-1,144	9,469	-1,281	8,673	137	7,437	2,695	12,706	1,632
November	20,675	-2,292	10,607	-1,570	10,068	-722	9,061	2,786	13,563	1,318
December	20,617	-1,879	9,360	..	..	..	..	..	..	..

SOURCE : Preliminary National Budget 1964.

Table VIII. BALANCE OF PAYMENTS[1]

$ millions

	1955	1956	1957	1958	1959	1960	1961	1962	1963[2]	1964[3]
Exports (f.o.b.)	1,727	1,946	2,138	2,088	2,210	2,567	2,746	2,926	3,204	3,400
Imports (c.i.f.)	1,998	2,211	2,430	2,368	2,415	2,902	2,931	3,124	3,391	3,615
Trade balance	-271	-265	-292	-280	-205	-335	-185	-198	-187	-215
Shipping earnings, net	198	235	279	242	240	262	267	279	280	290
Other services, net	-7	5	-6	-16	-41	-39	-70	-110	-135	-155
Current balance	-80	-25	-19	-54	-6	-112	12	-29	-42	-80
Registered capital transactions	0	-22	-6	-2	-16	-15	-6	-2	-16	15
Errors and omissions	87	88	39	86	33	96	168	141	28	..
Change in foreign exchange reserves	7	41	14	30	11	-31	174	110	-28	..

1. According to Swedish definitions ; the main differences from the O.E.C.D. standard definitions are that : a) imports are registered c.i.f. and not f.o.b. with a corresponding difference in shipping earnings ; b) services are registered net and not gross. The current balance corresponds to the O.E.C.D. definition with a negligible difference due to non-monetary gold transactions.
2. Preliminary figures.
3. Forecast

SOURCE : Preliminary National Budget 1963 and 1964, with some official adjustments.

Table IX. CENTRAL GOVERNMENT INCOME AND EXPENDITURE[1]

S.Kr. million

	FISCAL YEAR BEGINNING JULY :											
	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962
1. Current revenue	7,261	7,534	8,226	8,597	9,570	10,151	11,467	11,832	12,854	15,414	16,732	18,330
Direct taxes	4,087	4,092	4,469	4,364	4,803	5,147	5,756	5,723	5,797	6,918	7,508	7,640
Indirect taxes	2,727	2,954	3,180	3,594	4,137	4,390	4,937	5,354	6,159	7,528	8,156	9,514
Other	447	488	577	639	630	614	774	755	898	968	1,068	1,176
2. Current expenditure	5,564	6,418	6,775	7,213	7,773	8,458	9,785	10,543	11,312	11,988	12,993	14,840
Purchases of goods and services	2,664	3,113	3,285	3,479	3,767	4,021	4,396	4,605	4,924	5,224	5,888	6,562
Defence	1,609	1,934	2,062	2,189	2,328	2,453	2,663	2,739	2,882	2,895	3,288	3,531
Civil	1,055	1,179	1,223	1,290	1,439	1,568	1,733	1,866	2,042	2,329	2,600	3,031
Subsidies	423	562	402	370	513	490	684	715	699	778	881	929
Interest	348	301	341	350	432	460	573	599	763	1,011	899	805
Current transfers	2,129	2,442	2,747	3,014	3,061	3,487	4,132	4,624	4,926	4,975	5,325	6,544
3. Net current savings (1-2)	1,697	1,116	1,451	1,384	1,797	1,693	1,682	1,289	1,542	3,426	3,739	3,490
4. Depreciation and other operating provisions	416	478	443	598	536	503	725	637	760	871	874	1,017
5. Gross savings (3+4)	2,113	1,594	1,894	1,982	2,333	2,196	2,407	1,926	2,302	4,297	4,613	4,507
6. Gross fixed asset formation	1,072	1,514	1,553	1,473	1,562	1,612	1,723	2,115	2,353	2,281	2,319	2,710
7. Surplus on current and fixed investment account (5-6)	1,041	80	341	509	771	584	684	-189	-51	2,016	2,294	1,797
8. Lending	631	758	754	1,045	1,181	970	1,375	1,146	1,254	1,156	1,233	1,331
9. Net capital transfers to other sectors	88	167	193	236	230	262	317	340	364	395	431	506
10. Surplus before borrowing (7-8-9)	322	-845	-606	-772	-640	-648	-1,008	-1,675	1,669	465	630	-40

1. According to O.E.C.D. definitions.
SOURCE : Swedish submissions to the O.E.C.D.

Table X. CENTRAL GOVERNMENT FINANCES [1]

S.kr. million

	CALENDAR YEAR					
	1959 ACTUAL	1960 ACTUAL	1961 ACTUAL	1962 ACTUAL	1963 PRELIMINARY	1964 FORECAST
Current receipts	12,847	14,745	17,440	19,230	19,870	21,270
Direct taxes	6,422	6,790	8,553	8,921	8,550	8,990
Indirect taxes	5,452	6,812	7,634	8,931	9,840	10,480
Other	973	1,143	1,253	1,378	1,480	1,800
Current and investment expenditures	13,801	14,747	15,724	17,637	19,160	21,020
Transfer payments	7,334	7,881	8,481	9,432	10,050	11,080
Consumption	3,285	3,538	3,937	4,527	5,090	5,680
Gross investment	3,181	3,328	3,306	3,678	4,020	4,260
Balance on current and fixed investment account	-954	-2	1,716	1,593	710	250
Lending	1,072	963	1,220	1,030	920	980
Balance on total account	-2,026	-965	496	563	-210	-730

1. According to Swedish definitions.

SOURCE : National budgets for 1962, 1963 and 1964.

Table XI. THE NATIONAL PENSION FUND INVESTMENTS BY GROUPS OF BORROWERS

Million Kronor

	1960	1961	1962	1963
Governmental bonds	142	109	188	454
Mortgage institutions	199	646	1,369	2,184
Municipalities	47	136	276	445
Other	93	314	1,013	1,718
Total	481	1,205	2,846	4,801

SOURCE : Monthly Digest of Swedish Statistics.

Table XII. ISSUES OF BONDS AND SHARES, 1959-1963

Billion Kronor

	BONDS	SHARES	TOTAL
1959	3.3	0.6	3.9
1960	2.5	0.9	3.4
1961	2.4	1.6	4.0
1962	4.9	1.2	6.1
1963	5.8	0.9	6.7

SOURCE : Monthly Digest of Swedish Statistics.

Table XIII. MONETARY SURVEY

Millions of Kronor at end of period

	1956	1957	1958	1959	1960	1961	1962	1963			
								1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER
Central Bank :											
1. Foreign assets, net and gold ..	2,448	2,360	2,445	2,166	2,435	3,319	3,869	3,871	3,809	3,822	3,619
2. Swedish treasury bills and bonds	4,390	5,050	4,545	4,893	6,005	5,702	4,683	3,331	3,488	3,570	5,037
3. Advances	8	84	94	241	6	6	35	796	912	604	240
4. Notes in circulation.....	5,598	5,840	6,059	6,266	6,559	6,870	7,330	6,886	7,210	7,054	7,869
5. Government current deposits ..	260	274	158	146	118	209	152				
6. Commercial bank current deposits	241	136	163	138	154	163	182	127	142	162	306
7. Other deposits[1]	519	1,044	361	387	1,155	1,254	904	927	902	849	867
Commercial Banks :											
8. Cash	500	422	457	479	434	472	515	331	333	362	554
9. Foreign assets, net	317	478	546	881	453	472	492	147	210	455	595
10. Bonds and treasury bills	3,295	4,439	5,223	6,339	5,558	5,673	7,277	7,029	6,336	5,922	6,480
11. Advances :											
i) Amounts drawn	10,638	10,826	11,692	13,125	14,091	14,541	16,196	17,550	18,382	19,037	19,348
ii) Amounts granted			13,469	15,358	16,293	16,973	18,944	19,961	21,064	21,675	22,459
12. Current deposits	2,132	2,049	1,988	2,733	2,290	2,994	3,204	2,447	3,004	2,727	3,719
13. Savings deposits	2,120	2,143	2,185	2,239	2,312	2,029	2,067	20,044	19,471	20,164	20,691
14. Time deposits	8,838	10,071	11,814	13,979	13,922	14,392	16,807				
Savings Banks :[2]											
15. Bonds and treasury bills	833	885	1,022	1,065	1,148	1,197	1,324	1,385	1,380	1,372	1,316
16. Advances	7,548	8,166	8,852	9,573	10,144	10,906	11,708	11,980	12,208	12,434	12,668
17. Deposits	8,363	9,079	9,448	10,470	11,269	12,066	12,638	13,352	13,287	13,441	13,531
Other Monetary Data :											
18. Government bond yield[3]	3.75	4.33	4.91	4.81	5.18	5.34	4.99	4.60	4.96	5.18	5.22
19. Official discount rate	4.0	5.0	4.5	4.5	5.0	5.0	4.0	3.5	4.0	4.0	4.0

1. Mainly enterprises' investment reserve deposits.
2. Comprising 84 large savings banks, representing 75 per cent of deposits in all savings banks.
3. Loans with 15 years left to maturity.

SOURCE : Kommersiella Meddelanden : Uppgifter om Bankerna.

Table XIV. INDUSTRIAL PRODUCTION

	1953 = 100				
	1959	1960	1961	1962	1963
Iron ore	112	130	141	135	141
Iron and metal works	151	175	180	192	206
Wood	130	141	137	137	140
Paper	153	175	185	192	210
Pulp	140	161	164	152	173
Food	117	121	121	126	127
Spinning, weaving and knitted goods	109	116	117	119	116 [1]
Ready-made clothing	102	109	109	109	113 [1]
Leather and shoes	99	98	97	93	98
Total	127	140	145	147	150
Consumer goods	121	130	131	132	137
Capital goods	126	141	149	150	151

1. First three-quarters.
SOURCE : Allmän Månadsstatistik.

Table XV. COMMERCIAL BANKS, DEPOSITS AND LOANS

S.kr. million

	1950	1955	1956	1957	1958	1959	1960	1961	1962	1963	CHANGE		
											1950-1955	1955-1960	1960-1963
Deposits	8,930	12,609	13,090	14,263	15,987	18,950	18,524	19,415	22,080	24,410	3,779	5,915	5,886
Loans	9,240	10,530	10,638	10,826	11,692	13,125	14,091	14,541	16,196	19,348	1,290	3,561	5,257
Deposits in excess of loans	-310	2,079	2,452	3,437	4,295	5,825	4,433	4,874	5,884	5,062	2,489	2,354	629

SOURCE : Allmän Månadsstatistik.

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